Aurobindo Pharma Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Generic drug maker selling mainly in the US and Europe, plus growth markets. It makes pills, injectables (through Eugia), APIs and now biosimilars, inhalers and a first branded skin drug. It earns mainly from selling low-cost copies of off-patent medicines to US and European pharmacies and hospitals.

Number	Value	What it means
Market cap	Rs 1,05,452 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 10,263 cr	Highest ever, up 24% on last year; includes the newly bought Lannett in the US.
Q2 FY27 EBITDA	Rs 2,156 cr, margin 21%	Operating profit up 28%, faster than sales, despite costlier inputs and freight.
Q2 FY27 profit	Rs 1,124 cr	Profit after tax for the quarter.
Net cash	USD 189 million	More cash than debt after USD 146 million of cash generated in the quarter.
Stock P/E	38.4x	On Screener's profit figure; a fairly full price for a generics company.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25	Nov 2024	Yes (key passages)
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	May/Jun 2025	Yes (key passages)
Q1 FY26	Aug 2025	Yes (key passages)
Q2 FY26	6 Nov 2025	Yes (key passages)
Q3 FY26	Feb 2026	Yes (key passages)
Q4 FY26	22 May 2026	Yes (key passages)
Q1 FY27	Jul/Aug 2026	Yes (key passages)
Q2 FY27	5 Nov 2026	Yes, read in full ★

Nine calls across two years. Aurobindo has held calls for many years; older ones weren't needed for this read.

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Record revenue Rs 10,263 cr (+24%) and EBITDA Rs 2,156 cr (+28%) at 21%. US revenue USD 477 million (+25%) with Lannett now included; Europe EUR 288 million, up 18% in constant currency; growth markets +16%.
- Guidance repeated: double-digit FY27 revenue growth, EBITDA margin above 21% and EBITDA above Rs 8,000 cr; margin above 22% in FY28, and FY28 'far better than FY27'.
- New launches: ADQUEY, its first new chemical entity (for eczema), with a new dermatology unit; generic Advair launched mid-quarter; generic QVAR approved. The Raleigh plant got a clean (VAI) US FDA classification.
- China pill plant to break even this quarter (Q3 FY27); Pen-G plant now EBITDA positive but small. A1 Biochem acquisition starts a small-molecule CRDMO arm.
- Costlier raw materials from the Gulf disruption haven't fully hit yet and will show in coming quarters.

Business mix & capacity

Domestic vs export: Q2 FY27: formulations 89%, API 11%. US about 44% of revenue (Rs 4,555 cr), Europe about EUR 288 million, growth markets Rs 1,026 cr. India sales are a small part.

Capacity use: Pen-G plant can make 15,000 tonnes but produces about 10,000 tonnes because Indian demand is about 9,000; Raleigh inhaler plant utilisation 'nominal'; Lannett underused; China plant ramping with about 15 products.

3. Earning Trigger thesis

Aurobindo's trigger is a set of new businesses layered on top of a steady generics base: the Lannett purchase in the US, inhalers (generic Advair launched, QVAR approved, more in development), a first branded drug (ADQUEY), biosimilars in Europe, and new plants in China and for Pen-G that are only now reaching break-even. Together, management says, they lift margins from 21% now to above 22% in FY28. Sales and profit are growing fast this year. The catch is that several of these bets (China, Pen-G, biosimilars) have taken far longer than first promised.

Trigger	What management said	Evidence so far	Time horizon	Strength
Lannett (US)	Profitable, beat expectations, EBITDA at or above group level	US revenue +25% with first full quarter	Now	Strong
Inhalers	Generic Advair launched; QVAR approved; four more in development	Not full benefit yet; scale-up seen around FY29	FY28-FY29	Moderate
China and Pen-G plants	China break-even 'this quarter'; Pen-G EBITDA positive	China opex loss about USD 1 million last quarter	FY27-FY28	Moderate, years late
Margin above 22% in FY28	Lannett, China, biosimilars as levers	21% in Q2 FY27	FY28	Moderate
Biosimilars	Revenue from Q3-Q4 FY26 (Aug 2025)	UK launches 'encouraging' but not substantial	FY28+	Weak so far

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already net cash (USD 189 million).
New business	Yes	ADQUEY, first NCE, launched with a new dermatology unit; A1 Biochem acquisition for a CRDMO business; Lannett acquisition completed (5 Nov 2026).
Margin up	Yes	EBITDA margin 21%, guided above 21% for FY27 and above 22% in FY28 (5 Nov 2026).
New management	No	No change.
New capacity	Yes	China plant reaching break-even this quarter with about 15 products; Raleigh unit cleared for more filings (5 Nov 2026).
Big orders	No	No order book; generics business.
Turnaround	No	Not a loss-maker.
Promoter buying	No	Not mentioned.

The single concrete driver: The newly bought Lannett business in the US plus new inhaler and specialty launches are lifting sales and margins on top of a steady generics base.

3c. Margin bridge

EBITDA margin is 21% vs 20.4% for FY26. Gross margin rose to 61.2% from 59.7% on a better product mix and procurement, and more sales spread fixed costs (operating leverage). Costlier raw materials from the Gulf disruption are still to come through, so the next quarters may be squeezed a little (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2024	Pen-G plant breaks even by Q4 FY25, contributes from FY26	Only 'very low' positive EBITDA by Q2 FY27	Partly (late)
Feb 2025	US Dayton OSD plant commercialised in FY26	Not covered in the passages read	Too-early / unclear
Aug 2025	Biosimilar revenue from Q3-Q4 FY26	UK launches this fiscal, not yet substantial	Partly
Nov 2025	FY26 EBITDA margin 20-21%	FY26 margin 20.4%	Delivered
Feb 2026	Lannett acquisition, subject to approval	Completed after FTC approval within timelines	Delivered
May 2026	FY27 double-digit growth, margin above 21%, EBITDA over Rs 8,000 cr	H1 strong; Q2 margin 21%; guidance repeated	On track
FY25 onward	China plant ramping to break-even	Break-even guided for Q3 FY27, about two years after start	Partly

Narrative drift: The core generics guidance is set conservatively and met. The newer bets (Pen-G, China, biosimilars) keep arriving later than first said, and the story keeps adding new ones (Lannett, inhalers, ADQUEY, CRDMO). It's a widening story rather than a changing one.

5. Bottom line

Durable earning trigger? → YES

Lannett is already lifting US sales at good margins, and inhalers, China and a first branded drug give named next steps. Growth and margins are in the numbers this quarter.

Management consistent? → MAYBE

They meet their headline margin and growth guidance, but the big new projects (Pen-G, China, biosimilars) have each run well behind their first timelines.

6. Checkpoints for next quarter

- China pill plant breaks even in Q3 FY27
- EBITDA margin stays above 21% despite costlier inputs
- Generic Advair and own inhaler product add visible US sales

This is not investment advice. Do your own due diligence.